

GOLD CREEK ESTATES v. VALLEY SPRINGS GOLD CREEK, et al.
17CV42103

**PLAINTIFF'S MOTION FOR LEAVE TO FILE
SECOND AMENDED COMPLAINT**

This is a complex construction defect action involving allegations of negligent design and implementation of common areas within a condominium complex. Before the Court is plaintiff's opposed motion for leave to file a Second Amended Complaint. At issue is plaintiff's desire to assert new claims (nondisclosure, breach of contract, breach of implied warranty), as well as a desire to specify additional building standards.

To amend a pleading already at issue, the sponsoring party is required first to seek leave of court by way of noticed motion. (CCP §473(a)(1).) Motions for leave are to follow the regular notice requirements contained in CCP §1005(b). Pursuant to California Rules of Court, Rule 3.1324, the moving party must:

- a) Specify in the moving papers by page, paragraph, and line number the allegations proposed to be added and/or deleted; and
- b) Include with the moving papers:
 - a copy of the proposed amended pleading; and
 - a declaration specifying:
 - (1) the effect of the amendment(s);
 - (2) why the amendment is necessary and proper;
 - (3) when the facts giving rise to the amended allegations were discovered;
and
 - (4) the reasons why the request was not made earlier.

The first two factors have been adequately covered. As to the third and fourth factors, counsel provides a declaration explaining the basis/timing for the requested leave, summarized as: counsel made a legal error in not recognizing that common law claims might survive outside the overarching reach of the Right to Repair Act, and only came to this conclusion after learning that of a planned summary judgment motion on statute of limitations grounds against the asserted cause of action. This is not the result of a new change in law, or new facts coming to light, but rather counsel realizing his *existing* claim may fail.

That being said, this Court disagrees with defense counsel's contention that "this is not an instance wherein the proposed amendment simply builds upon previously articulated claims." Quite the contrary, this is supplementing existing claims with theories that may

(or may not) fall outside the 10-year statute of limitations. While the amendment might require defendants to reevaluate a possible MSJ, it does not – as defendants contend – force them to restart all discovery. In fact, it seems little unique discovery will be required by the new causes of action as the existing pleading contains breach and misrepresentation claims, largely similar for discovery purposes to the proffered new claims.

Motions for leave to amend a pleading are directed to the sound discretion of the court. (CCP §§ 473(a)(1) and 576.) This discretion, however, is to be exercised liberally in favor of allowing amendments. (*Howard v. County of San Diego* (2010) 184 Cal.App.4th 1422, 1428; *Central Concrete Supply Co v. Bursak* (2010) 182 Cal.App.4th 1092, 1101-1102.) Courts may permit amendments at any stage in the proceedings, up to and including trial, so long there is no prejudice to the adverse party. (*Atkinson v. Elk Corp.* (2003) 109 Cal.App.4th 739, 761.) Prejudice exists where amendment would require delaying the trial, resulting in loss of critical evidence, or significant added litigation burden/costs. (*Magpali v. Farmers Group* (1996) 48 Cal.App.4th 471, 486-488.) While unexcused delays in bringing the motion may also be considered, mere proximity to trial is generally not sufficient grounds upon which to deny leave to amend. (See *Melican v. Regents of University of California* (2007) 151 Cal.App.4th 168, 175; *Leader v. Health Industries of America, Inc.* (2001) 89 Cal.App.4th 603, 613; *Honig v. Financial Corp. of America* (1992) 6 Cal.App.4th 960, 967.)

The published authorities affirming a trial court's decision to deny leave to amend are few and far between. (See, e.g., *Melican v. Regents of University of California* (2007) 151 Cal.App.4th 168, 175-176 [leave to add breach of contract claim five years later, and on the eve of MSJ, denied]; *Huff v. Wilkins* (2006) 138 Cal.App.4th 732, 746 [leave to add allegations of recklessness brought three days before hearing on MSJ denied]; *Emerald Bay Community Assn v. Golden Eagle Ins Co.* (2005) 130 Cal.App.4th 1078, 1097 [leave to amend to add assignment/ contribution claim brought post-trial denied].)

While this Court avoids delays in moving cases forward whenever possible, as noted there is a strong preference in the law for deciding actions on their merits. To that end, a court will not consider the validity of the proposed amendment in deciding whether to grant leave to amend (that can normally be dealt with via demurrer), and may not condition leave upon the submission of evidence substantiating the new claim(s). (*Sanai v. Saltz* (2009) 170 Cal.App.4th 746, 769-770; *Edwards v. Superior Court* (2001) 93 Cal.App.4th 172, 180; *Yee v. Mobilehome Park Rental Review Board* (1998) 62 Cal.App.4th 1409, 1429.) These issues can be addressed by a variety of pleading and evidentiary motions.

Based on the foregoing, Plaintiff's Motion for Leave to File a Second Amended Complaint is GRANTED. Plaintiff shall file and serve the SAC by the close of business on December 3, 2021.

The Clerk shall provide notice of this Ruling to the parties forthwith. Plaintiff to prepare a formal Order pursuant to Rule of Court 3.1312 in conformity with this ruling.